

Palantir: committee decision

Provisional recommendation - no position at the current price

Do not initiate at the October 5, 2026 regular close of \$189.40 under this model. The causal DCF range is approximately **\$16-\$65 per diluted economic share**, with a base near \$30. Pierce must decide whether to retain the name on watch/defer. Intended user: buy-side analysts and portfolio manager; horizon: 3-5 years; security: NASDAQ PLTR Class A; currency: USD.

Evidence and accounting boundary

The audited 2025 10-K was published February 17, 2026; the June 2026 10-Q was published August 4. The information cutoff is October 5, 2026. The bridge uses the latest reported June cash and awards, with staleness disclosed. FY2026 revenue guidance midpoint of \$8.154B is a forecast anchor, not a realized result.

FCFF comes from the integrated operating forecast. Ongoing share compensation is treated as cash replacement; existing awards are diluted separately and their prospective service cost is removed to avoid duplicate charging. Restricted cash gets no distributable credit. Operating lease expense stays in EBIT. Cash flows retain their signs; no hidden balance-sheet funding plug.

Causal valuation cases

Case	Economic mechanism	Value / share	Terminal PV / EV
Low	Slower commercial conversion, procurement delays, lower margin and weaker collections	\$16	66%
Base	Strong adoption decelerates; growth and margins fade toward mature economics	\$30	73%
High	Repeatable deployment sustains adoption and efficient cash collection	\$65	83%

Base WACC is 10.56%: October 5 Treasury 10-year yield 5.31% plus assumed operating beta 1.25 times October 1 implied ERP 4.20%. Beta is judgment, not an estimated regression. Terminal growth is 2-4%, mature operating margin 30-40%, and mature ROIC 25%; reinvestment is explicitly growth / ROIC. Immediate maturity after 2030 is a material limitation.

Comparison with the existing work

The preserved Lab 10 model reproduces \$34.53. Sequential changes in discount rate, liquidity/share bridge and timing first raise that estimate to \$39.12; the operating forecast then lowers it to \$34.77, and mature terminal economics lower it to \$29.76. The attribution is order-dependent. The earlier \$158 DCF directly compounded extreme FCFF growth and is not the integrated-model anchor.

Peer EV/revenue implies roughly \$17-\$28 per basic PLTR share; GAAP P/E implies about \$25-\$106. Do not average these or mix their basic share basis with diluted DCF values. Peer earnings include tax and investment effects; fiscal periods and reported balance/share dates differ. Revenue multiples suppress differences in margins and growth. Transactions are excluded because control, synergy and timing do not provide a defensible bridge.

Sensitivity, partner challenge and product

Ethan Heeres asked in the supplied Lab 11 record whether growth wins because its range is wider. Equal 10% proportional changes now make margins move 2030 operating profit and FCFF slightly more than growth does, while growth still moves valuation more: about \$4.40 versus \$1.42 per share across those ranges. Explicit-margin changes hold mature terminal margin fixed; growth also changes terminal revenue. The ranking is output- and range-dependent.

The bounded workbench recalculates the same statements, exposes sensitivity and checks, resets to base, and refuses infeasible terminal reinvestment. A delayed-maturity terminal scenario is about \$35 per share. Reverse DCF requires extremely high commercial growth when other base assumptions remain fixed; this is one conditional market expectation, not proof of mispricing.

Conditions, reversal and committee ask

Monitor realized commercial/government sales, funded conversion, receivable collection, GAAP margin, compensation, hosting/capex and cash taxes. A lower entry price or evidence supporting a longer profitable runway warrants rebuilding the forecast. Under a hypothetical \$20 entry, base economics support an initiate candidate but the downside reverses that action. At \$189.40 the current cases already reject initiation.

Committee ask: approve no current position under these assumptions, and decide whether continued watch/defer research is worthwhile. Review tax utilization, terminal maturity and award treatment before adopting a final label. The unchanged official Edition A PDF, human locked test, final partner review and real videos/transcripts remain outstanding.

Sources: Palantir SEC 2025 10-K and June 2026 10-Q; August 3 release; Public historical closes; Treasury daily yield curve; NYU implied ERP; NOW/CRM issuer disclosures. Full URLs, dates, hashes, assumptions and executed outputs are in the private repository and Validation-and-AI-Use.pdf.